Session 9 — Ownership Structure, Corporate Governance and Corporate Strategy (OGS); Shareholder Activism, Engagement and ESG Investing

By the end of this session you must know the three main models of capitalism and their governance logics, what Control-Enhancing Mechanisms are and how pyramidal groups work, why ownership, governance and strategy are interdependent, the typical ownership-strategy archetypes and dichotomies, what drives shareholder activism with the Aberdeen and Elliott/TIM cases, how ESG commitment is assessed and invested in, and how Italy's Non-Financial Declaration integrates ESG into reporting.

Plan

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1. Three Models of Capitalism and Governance Systems

> **Governance system (Weimer & Pape, 1999):** a country-specific framework of legal, institutional and cultural factors that shape how stakeholders (managers, employees, shareholders, creditors, customers, suppliers, government) influence decision-making.

The lecture organizes real-world governance around three main systems, each with a distinct ownership profile and logic:

- **Anglo-Saxon model** (USA, UK, Canada, Australia) — market-oriented, an "outsider system": strongly competitive and transparent financial markets, active monitoring of managers by the markets themselves, dispersed ownership with a rising role for institutional investors, and hostile takeovers that are relatively easy to execute. Ownership data cited for the US/UK shows institutional investors rising from about 31% (1990) to about 42% (2000) of ownership, while family ownership fell from about 51% to about 38% over the same period.
- **German/Japanese model** — network-oriented, an "insider system": weak transparency and limited competition in financial markets, few public companies, dominance of industrial groups and cross-shareholdings, with banks playing a central role, often acting as controlling shareholders themselves.
- **Latin model** (Italy, France, Spain, Greece) — a strong role for the State as shareholder, regulator and financer; banks are less relevant as shareholders but central to debt financing; families dominate as controlling shareholders; shareholder agreements and coalitions are frequent; pyramidal groups enable family capitalism and control; employees play a weak role

except in specific employee trusts; financial markets play a limited role, and there are comparatively few large-scale corporations.

2. Control-Enhancing Mechanisms and Pyramidal Groups

> **Control-Enhancing Mechanisms (CEMs):** legal or contractual tools that allow shareholders, typically controlling ones, to exercise voting power disproportionate to their actual cash-flow rights.

Three main forms of CEM, per the lecture:

- **Deviation from the proportionality principle** ("one share, one vote"), e.g. dual-class shares.
- **Shareholders' agreements** — coalitions of shareholders acting together to secure control.
- **Pyramidal groups** and the "stock pyramiding effect" (chains of ownership) — a combination of the two mechanisms above, stacked through multiple layers of ownership.

> **Pyramidal group as a CEM, worked example:** shareholder A owns 51% of Company B, and Company B owns 51% of Company C. Formally, A controls C, because A controls B, and B controls C. But in terms of cash-flow rights, A only holds 51% of B × 51% of C = 26% of C's equity, yet A still exercises 51% of the voting rights in C. Through this pyramidal structure, a controlling shareholder leverages a small capital stake into majority control, creating exactly the gap between voting power and cash-flow rights that defines a CEM.

3. Ownership, Governance and Strategy: Why They Move Together

The lecture states directly that ownership structure, governance choices and corporate strategy are interdependent and evolve together over time; the creation, growth and decline of firms often reflect these dynamic interactions. What drives changes in this ownership/strategy/governance system:

- **Past performance** — only extreme results (very good or very bad) tend to trigger changes.
- **Owners' values and resources** — the priorities and capabilities of controlling shareholders.
- **Competitive environment** — growth opportunities, risk appetite, investment needs.
- **Institutional context** — regulation, the political system, stakeholder representation, judiciary effectiveness.
- **Other contextual conditions** — financial markets, infrastructure, the education system, available technology.

4. Ownership-Strategy Archetypes and Dichotomies

The lecture lists recurring ownership-strategy combinations: the small family firm (owner = entrepreneur = manager, limited capital, mono-business, local markets); the large "managerial" corporation (dispersed shareholding, salaried managers, reliance on capital markets); state-owned companies (historically key to industrialization in sectors like steel, electricity, petrol and chemicals); the small venture-backed start-up (high growth potential, external equity financing); franchising networks (e.g. Benetton, replication through affiliation); cooperatives (pursuing the special interests of cooperators); local utilities (often a mix of public and private ownership); and joint ventures/consortia/associations (a cooperative ownership model for scale or risk-sharing).

The lecture also organizes ownership along several dichotomies that matter for governance analysis:

- With a controlling shareholder versus without one (a pure public company).
- A strong controlling shareholder (more than 50% of shares) versus a weak one.
- A unique controlling shareholder versus a coalition of shareholders.
- A private controlling shareholder (free of political pressures) versus a public controlling shareholder (politically driven).
- Weak versus strong pressures from stakeholders (authorities, employees).
- A "financial" controlling shareholder versus an "industrial" one.
- A controlling shareholder with weak/null knowledge of the business versus one with strong knowledge/experience in it.
- A controlling shareholder with strong cash flows available to finance additional equity, versus one carrying high debt (e.g. from a leveraged buyout) and unable to inject more cash.
- Weak versus strong pressures/activism from institutional investors.

How the controlling shareholder's financial position shapes strategy, two contrasting cases: a strong, cash-rich, unconstrained controlling shareholder is willing to invest heavily in the medium/long term, is open to risky but promising strategies (acquisitions, business model change), supports significant R&D spending, and accepts temporarily lower dividends to finance growth. A controlling shareholder under debt pressure, by contrast, requires high dividends to service its own debt, is reluctant to invest, expand or take risks, opposes capital increases, and favors short-term, cash-generating activities.

Public versus financial non-controlling shareholders, a second contrast: a public controlling shareholder with available cash tends to support long-term (often low-risk) investments, opposes large restructurings and dismissals, is available to buy firms in crisis (even in unrelated businesses), and is willing to give privileges to non-owner stakeholders (employees, customers, suppliers, local communities). Financial and active non-controlling shareholders, by contrast, oppose diversification (since they diversify their own portfolios instead), oppose cross-shareholdings and business groups, and support deep restructurings when needed. Per the lecture, public owners prioritize stability and social balance, while financial investors push for focus, efficiency and restructuring.

5. Shareholder Activism: Drivers and Two Real Cases

Companies more exposed to shareholder activism tend to share these traits: large firms with underperforming results, weak managerial ownership (managers with little "skin in the game"), pay-performance misalignment (executives rewarded despite poor results), boards with many independent directors (the lecture notes the evidence here is mixed), and significant ownership by institutional investors. Activists themselves are typically motivated by an expectation of tangible financial or governance benefits, the ability to mobilize support from other shareholders, and a strong social identity/legitimacy, especially in campaigns touching social or environmental issues.

> **Aberdeen Standard Investments (source: Becht et al., 2019):** the largest UK asset manager, with $670bn under management and stakes in 385 listed UK companies (about 3% each on average). Its dedicated Governance & Stewardship (G&S) team monitors governance risks and focuses on firms on its internal "Governance Health Warning" (GHW) watchlist. It abstained or voted against management in 33% of GHW companies, versus 14% of others. Main conflict areas: executive/board compensation, board composition and independence, and sustainability/ESG issues. The G&S group centralizes all voting decisions across funds, leads on director/auditor appointments and remuneration issues, and engages directly with companies; in 2015 alone, its 15-member team had 564 company interactions, raised 430 governance issues, and voted against management in 22% of shareholder meetings.

> **Elliott versus Vivendi at TIM (2018):** Elliott (a US activist hedge fund) announced an initial 5% stake in TIM and proposed replacing 6 directors to improve governance and strategy. In response, 8 directors resigned, including the Chairman and Vivendi's own CEO Arnaud de Puyfontaine (Vivendi being TIM's major shareholder at 24%), triggering a full board re-election. At the May 4, 2018 shareholder meeting a new board was elected amid the contest between Elliott and Vivendi; Elliott had by then doubled its stake to 10%. Italy's state-owned investor CDP (Cassa Depositi e Prestiti) was rumored to be taking a 5% stake, becoming a third actor able to influence the outcome, illustrating that governance battles can be political and strategic, not only financial. The result was a board with 13 of 15 members independent, including the Chairman, in line with Elliott's governance objectives. The three actors had distinct goals: Vivendi sought industrial control and to integrate telecom with media assets; Elliott pushed for independent, value-oriented governance and shorter-term financial returns; CDP sought to safeguard TIM as a national strategic asset and rebalance power between Vivendi and Elliott.

6. Why ESG Commitment Matters, and How It Is Assessed

> **BlackRock (2019):** voted against 53 listed companies over weak environmental practices, sending a clear signal to markets about the growing weight of ESG in investment decisions.

Why ESG is described as crucial: it drives **capital access** (ESG criteria shape investment decisions of sovereign funds, pension funds, asset managers and retail investors), it is central to **risk governance** (identifying and managing risk), it responds to growing **stakeholder expectations** (from customers, employees, regulators and society), and it opens **business opportunities** (new markets and innovation linked to sustainability). The lecture's summary framing: ESG commitment directly affects long-term corporate sustainability, and ESG is no longer optional, it shapes access to capital, risk profile, reputation and growth opportunities.

> **MSCI ESG rating framework:** companies are scored across a wide set of Environmental, Social and Governance indicators, each measuring exposure to a specific risk/opportunity and how well the company manages it; results are aggregated into an overall rating from AAA (leader) to CCC (laggard).

- **Environmental (E)** — risk: exposure to climate change, pollution, resource scarcity. Metrics: carbon emissions, renewable energy use, waste reduction targets.
- **Social (S)** — risk: labor disputes, unsafe products, stakeholder opposition. Metrics: employee diversity and training, product recalls, community relations.
- **Governance (G)** — risk: weak boards, corruption, lack of transparency. Metrics: board independence and diversity, executive pay alignment, tax transparency.

7. The Rise of ESG Investing and Its Strategies

ESG investments exceed $30,000 billion worldwide (Global Sustainable Investment Review 2018 figures), equal to about 48.8% of total assets under management in Europe and about 25.7% in the USA; the source table shows total global ESG assets growing from $18,276bn (2014) to $30,683bn (2018), with Europe as the largest region throughout and Japan showing the fastest relative growth (from $7bn in 2014 to $2,180bn in 2018).

The lecture lists seven distinct ESG investment strategies, each with a real-world example:

Strategy	Description	Example
Exclusions (negative screening)	Avoid companies/sectors linked to harmful products or practices	Norway's Government Pension Fund Global excludes tobacco, coal, controversial weapons
Engagement & voting	Shareholder dialogue, proposals and voting to influence behavior	BlackRock engages on climate disclosure, votes against boards misaligned with the Paris Agreement
ESG integration	Systematic inclusion of ESG factors in traditional financial analysis	Goldman Sachs Asset Management integrates ESG metrics into credit and equity analysis
Norms-based screening	Select firms based on compliance with international standards	APG (Netherlands) screens against the UN Global Compact and OECD Guidelines
Best in class	Choose the strongest ESG performers within each sector	RobecoSAM Sustainable Leaders Fund
Thematic investments	Focus on sustainability themes	iShares Global Clean Energy ETF
Impact investing	Target investments with measurable social/environmental outcomes	Triodos and Leapfrog Investments in microfinance, healthcare, renewable energy

8. ESG Integration Into Italian Reporting: the NFD

> **Non-Financial Declaration (NFD / DNF), Italy:** the Italian implementation (Legislative Decree 254/2016) of EU Directive 2014/95/EU. Mandatory since 2017 for large public-interest entities (more than 500 employees). It requires disclosure on environment, social issues, human rights, anti-corruption and workforce policies, aimed at assessing a company's ESG commitment and long-term sustainability. It carries similar control, publication and auditing requirements to financial statements, pushing companies toward accountability and stakeholder engagement.

Evidence from the sample used in the lecture (197 companies subject to the decree, having published their NFD by 15 July 2019, split into 145 non-financial and 52 financial-sector companies): 96% of companies described their main ESG risks in the NFD, 88% described the management or mitigation methods in place, but only 13% stated integrating ESG factors further into risk management as an explicit objective; the share of companies with a declared evaluation/management system for ESG risk rose from 37% (2017) to 47% (2018).

Further FTSE MIB-focused findings: 66% of FTSE MIB companies had defined Sustainability Plans, with 89% of those integrated into the company's Industrial Plan; 86% of FTSE MIB companies had an internal committee responsible for overseeing sustainability, most commonly the Risk Committee (83%); and 55% of FTSE MIB companies had declared an incentive/remuneration system tied to sustainability objectives, with a strong correlation between having a sustainability plan and having such an incentive system (95% of companies with a sustainability plan also had incentives tied to it, versus only 5% of companies without one).

> **Watch out:** the lecture's concluding slides note a transition underway from the NFD to the CSRD (Corporate Sustainability Reporting Directive, 2024-2026 rollout), which introduces the ESRS standards, broadens scope to include SMEs, and adds assurance requirements. Don't describe the NFD as the final or only EU disclosure regime, the lecture frames it as the starting point of an ongoing transition.

9. Common Mistakes and Exam Traps

- Confusing the three models of capitalism (Anglo-Saxon, German/Japanese, Latin) with the three ownership-strategy archetypes or the ownership dichotomies — the models of capitalism are country-level governance systems, while the archetypes/dichotomies describe firm-level ownership situations that can appear within any of the three systems.
- Describing a pyramidal group as simply "owning a majority stake" — the entire point of the worked example is that voting control (51%) can exceed cash-flow rights (26%) because cash-flow rights multiply down the ownership chain, while control is retained through a majority at each layer. In the lecture example, 51% times 51% gives approximately 26% of cash-flow rights, but the controlling shareholder still exercises 51% of the votes in the bottom company.
- Treating Control-Enhancing Mechanisms as inherently illegal — they are legal or contractual tools; the lecture frames them as a governance **design choice** with a cash-flow/control gap, not as fraud.
- Assuming board independence, by itself, predicts shareholder activism risk — the lecture explicitly says the evidence on independent-director-heavy boards attracting activism is "mixed", unlike the clearer predictors (underperformance, weak managerial ownership, pay-performance misalignment).
- Mixing up the Aberdeen case (a large institutional investor engaging broadly across a portfolio of 385 companies via a dedicated stewardship team) with the Elliott/TIM case (a single activist

hedge fund's targeted campaign against one company) — they illustrate two different activism models, portfolio-wide stewardship versus a concentrated activist campaign.

- Treating ESG investing as a single strategy — the lecture lists seven distinct strategies (exclusions, engagement/voting, integration, norms-based screening, best-in-class, thematic, impact investing) that differ in mechanism, not just in degree.
- Describing Italy's NFD as voluntary — it has been mandatory since 2017 for large public-interest entities under Legislative Decree 254/2016, even though many firms voluntarily published sustainability reports before that date.

10. Must Know Absolutely

Must know:

• Three governance systems, Anglo-Saxon (market/outsider, dispersed ownership), German/Japanese (network/insider, banks and cross-shareholdings), Latin (State and family dominant, pyramidal groups)
• Control-Enhancing Mechanisms, deviation from one-share-one-vote, shareholders' agreements, pyramidal groups, all create a gap between voting power and cash-flow rights
• Ownership, governance and strategy are interdependent, driven by past performance, owner values/resources, competitive environment, institutional context
• Key ownership dichotomies, controlling vs no controlling shareholder, strong vs weak, unique vs coalition, private vs public, financial vs industrial, cash-rich vs debt-constrained
• Shareholder activism drivers, underperformance, weak managerial ownership, pay-performance misalignment, institutional ownership; Aberdeen (broad stewardship) vs Elliott/TIM (targeted activist campaign)
• MSCI ESG framework scores E, S, G indicators into one rating from AAA to CCC
• Seven ESG investment strategies, exclusions, engagement/voting, integration, norms-based screening, best-in-class, thematic, impact investing
• Italy's NFD (Legislative Decree 254/2016), mandatory since 2017 for large public-interest entities, now transitioning toward the CSRD/ESRS regime

Watch Out

Watch out on numbering: the source file for this fiche is named "AFM_25-26_session 9.pdf" and its own title slide literally reads "SESSION 9", but its content matches syllabus topic 7 ("Ownership structure, corporate governance, and corporate strategy (OGS), shareholder activism, engagement, and ESG investing"), not syllabus topic 9 ("Corporate governance design in private and family firms"). The professor's/Blackboard's own session count for this course does not line up with the printed syllabus's topic numbering. Syllabus topic 9 (private and family firm governance design) has not yet been covered by any downloaded material and still needs its own fiche once that content becomes available. Treat this fiche's folder name as matching the source file's own label, not as confirmation of syllabus position 9.